

25STCV24277 25STCV24277

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Case Number: 25STCV24277 Hearing Date: August 11, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

JOSE JIMENEZ,

Plaintiff,

vs.

TOYOTA MOTOR SALES, U.S.A., INC.,

Defendant.

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CASE NO.: 25STCV24277

[TENTATIVE] ORDER SUSTAINING DEFENDANT'S
DEMURRER; GRANTING MOTION TO STRIKE

Dept. 506

8:30 a.m.

August 11, 2026

On

August 18, 2025, Plaintiff Jose Jimene filed this action against Defendant Toyota Motor Sales, U.S.A., Inc. arising from Plaintiff's purchase of an allegedly defective vehicle.

On

October 29, 2025, Defendant filed a demurrer to the sixth cause of action for Fraudulent Inducement – Concealment and a motion to strike punitive damages.

DEMURRER

A

demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. The Sixth Cause of Action Does Not Allege
Fraud with Specificity.

Defendant

argues that the sixth cause of action does not allege sufficient facts, including a duty to disclose. (Demurrer at pp. 4-10.)

Fraud

based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311.)

An

essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’”

(Id. at p. 311.) “[O]ther than

the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]”

(Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187

(Hoffman).) “Even under the strict

rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

Plaintiff alleges that Defendant “was aware

of its inability to repair the defects in the 3.5L engine” and failed to disclose

it to its consumers. (Complaint ¶¶ 73-74; see Complaint ¶¶ 55-56 [identifying specific defects].) Plaintiff did not know about these defects and problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiff purchased the vehicle. (E.g., Complaint ¶¶ 57-74.) The allegations are specific enough to allege the information that was concealed. (See *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199-1200.)

However, Plaintiff does not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See *Hoffman*, supra, 228 Cal.App.4th at p. 1187.) Plaintiff alleges only that Defendant “had superior and exclusive knowledge of the Engine Defect and knew or should have known that the Engine Defect was not known or reasonably discoverable by Plaintiff before Plaintiff purchased the Subject Vehicle.” (Complaint ¶ 62.) There are also no facts showing why Defendant’s knowledge was exclusive or that Defendant intended to defraud. Indeed, Plaintiff alleges that there were “early consumer complaints about the engine defects to TOYOTA and its dealers,” suggesting that the knowledge was in fact public. (Complaint ¶ 63.)

Moreover, in a transaction that does not involve fiduciary or confidential relations, the “transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler*, supra, 7 Cal.App.5th at pp. 311-312.) Plaintiff alleges no such direct transaction with and direct concealment by Defendant.

The demurrer is sustained on this ground.

B. The Sixth Cause of Action is Barred by the Economic Loss Rule.

Defendant argues that the sixth cause of action is barred by the economic loss rule. (Demurrer at pp. 10-11.)

Under the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only ‘economic’ losses.” (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.) However, tort damages may be permitted when the

breach of contract is accompanied by a tort such as fraud. (Id. at pp. 989-990.) To plead around the economic loss rule, a party

must plead the existence of a duty that arises independent of any contractual duty and independent injury, other than economic loss, that arises from the breach of that duty. (Id. at pp. 988-991.)

“[U]nder

California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims

fall within an exception to the economic loss rule recognized by our Supreme Court”

in Robinson, and such claims allege fraudulent conduct that is independent

of the alleged warranty breaches. (Dhital

v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court has confirmed that “the economic

loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024)

17 Cal.5th 1, 38.) “A plaintiff may assert

a tort claim for fraudulent concealment based on conduct occurring in the course

of a contractual relationship, if the elements of the cause of action can be established

independently of the parties’ contractual rights and obligations and the tortious

conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation

of the parties when they entered into the agreement.” (Ibid.)

Accordingly,

a properly pleaded claim for fraudulent inducement is not barred by the economic

loss rule. Here, however, Plaintiff does

not establish all elements of fraudulent concealment independently of the parties’

contractual rights and obligations.

Additionally,

Plaintiff fails to allege any independent duty or harm beyond the terms of the contractual

relationship, and only economic damages from breach of warranty are alleged. Plaintiff “was harmed and suffered actual damages

in that the Subject Vehicle’s engine is substantially certain to fail before its

expected useful life has run.” (Complaint

¶ 61.) This harm is purely economic from the purchase of the vehicle. Plaintiff’s allegations do not state that Plaintiff

was in fact damaged. Unknown risk that does

not result in liability or injury by definition is not actual damage. (Small v. Fritz Companies, Inc. (2003)

30 Cal.4th 167, 202 [“Misrepresentation, even maliciously committed, does not support

a cause of action unless the plaintiff suffered consequential damages,” concurring

opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248

[“as a result of the concealment or suppression of the fact, the plaintiff must

have sustained damage"].)

Plaintiff's

only alleged harm is the economic harm from the purchase of the vehicle, which was

within the reasonable contemplation of the parties when they entered into the agreement. (See *Rattagan*, supra, 17 Cal.5th at p.

38.) Accordingly, this cause of action is
barred by the economic loss rule.

The

demurrer is sustained on this ground.

MOTION

TO STRIKE

The

court may, upon a motion or at any time in its discretion: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subds. (a)-(b).)

Defendant

moves to strike Plaintiff's prayer for punitive damages. A plaintiff can recover punitive damages in tort

cases where "the defendant has been guilty of oppression, fraud, or malice." (Civ. Code, § 3294, subd. (a).) "The mere allegation an intentional tort was committed

is not sufficient to warrant an award of punitive damages. [Citation.]

Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation.]"

(*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166, fn. omitted.) Additionally, a plaintiff is not entitled to recover both punitive damages and civil penalties under Song-Beverly. (*Troensegaard v. Silvercrest Industries, Inc.* (1985) 175 Cal.App.3d 218, 228.)

The

Court concurrently sustains the demurrer to the fraud cause of action, and there are no other specific facts showing oppression or malice.

The

motion to strike is granted.

CONCLUSION

The
demurrer to the sixth cause of action is SUSTAINED. The motion to strike is GRANTED.

At
the hearing, Plaintiff should be prepared to explain what additional facts will
be pleaded and exactly how any amendments can remedy the deficiencies of the Complaint
without making it a sham pleading. The Court
will decide at the hearing whether to grant leave to file a First Amended Complaint.

Moving
party to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at
indicating intention to submit. If all parties
in the case submit on the tentative ruling, no appearances before the Court are
required unless a companion hearing (for example, a Case Management Conference)
is also on calendar.

Dated this 11th day of August 2026

Hon. Thomas D. Long

Judge of the Superior
Court